THE NATIONAL COMPANY LAW TRIBUNAL

BENCH V

AT NEW DELHI

CA (CAA)-135/230/232/ND/2021

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF:

SCHEME OF ARRANGEMENT

OF

NAYA BAZAR CHIT FUND PRIVATE LIMITED

...(Transferor Company/Applicant No 1)

AND

ARVIND CONDUCTORS PRIVATE LIMITED

...(Transferee Company/Applicant No 2)

Order Reserved On: 15.02.2022
Order pronounced on: 01.04.2022

CORAM:

SH. P.S.N PRASAD, HON'BLE MEMBER(J)

SH. AVINASH K. SRIVASTAVA, HON'BLE MEMBER (T)

PRESENT

For the Applicants : Rajeev Kumar, Adv

MEMO Of PARTIES

In the Matter of Companies Act, 2013

Section 230 to 232

In the Matter of:

NAYA BAZAR CHIT FUND PRIVATE LIMITED
Company incorporated under the Companies
Act, 2013
Having Registered Office at:
26/36, Ground Floor, East
Patel Nagar, New Delhi 110008
CIN: **U74889DL1984PTC019158**

--- (TRANSFEROR COMPANY/ APPLICANT NO 1)

AND

ARVIND CONDUCTORS PRIVATE LIMITED
Company incorporated under the Companies
Act, 2013
Having Registered Office at:
26/36, Ground Floor, East
Patel Nagar, New Delhi 110008
CIN: **U74889DL1989PTC035447**

... (TRANSFEREE COMPANY/ APPLICANT NO 2)

ORDER

PER SH. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

1. This application has been jointly filed on **17.12.2021** by the Applicant Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, duly supported by separate affidavits of the Applicant Companies, for seeking appropriate directions for dispensing with the holding/convening of the meetings of the respective shareholders and creditors of both the Applicant companies for approval of the proposed Scheme of Amalgamation as contemplated between the Applicant companies. The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record**Annexure A-1** along with the joint application.

2. It is represented that the registered office of both the applicant companies is situated in New Delhi and therefore, the subject matter of this joint application falls within the Jurisdiction of this Bench.

3. **Transferor Company** was incorporated under the Companies Act, 1956 as unlisted private limited company on 29th September 1984 in the name and style of **"NAYA BAZAR CHIT FUND PRIVATE "** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the CIN**U74899DL1984PTC019158.** Its authorized share capital is Rs. 5,00,000/-divided into 50,000 equity shares of Rs. 10/- each while its issued, subscribed, and paid-up capital is Rs. 5,00,000/- divided into 50,000 Equity Shares of Rs. 10/- each.

4. **Transferee Company** was incorporated under the Companies Act, 2013as unlisted private limited on 13th March 1989 in the name and style of **"ARVIND CONDUCTORSPRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the CIN. **U74899DL1989PTC035447.** Its authorized share capital is Rs. 30,00,000/-divided into 30,000 equity shares of Rs. 100/- each, while its issued, subscribed, and paid-up capital is Rs. 30,00,000/- divided into 30,000 equity shares of Rs. 100/- each.

5. The proposed Scheme of Amalgamationbetween the Transferor and the Transferee company is likely to result in the following advantages:

- Consolidate shared service support business in a single entity to ensure optimal utilization and leveraging of assets, capacities, experience and infrastructure:
- Simplify corporate structure and reduce number of legal entities in the group;
- Reduce managerial overlaps, which are necessarily involved in running multiple entities and achieve operational and management efficiency:
- Reduce regulatory and legal compliances/ filings including accounting, reporting requirements, statutory and internal audit compliance requirements, tax filings, company law compliances, etc. and therefore reduction in administrative costs.

6. It is submitted that the Transferor Company has 2 equity shareholders. The certificate of chartered accountant certifying the list of equity shareholders has also been placed on record **(Annexure A-7).** All the shareholders have given their written consent for the proposed arrangement

and their consent affidavit has also been placed on record **(Annexure A-8).** In respect of shareholders, prayer has been made for issuance of directions for dispensing the convening of the meeting of the shareholders.

7. The Transferor Company has no Secured Creditor. The certificate of chartered accountant that there is no secured creditor of the Transferor Company has also been placed on record **(Annexure A-9).**

8. The Transferor Company has 2 unsecured Creditor. The certificate of chartered accountant certifying the list of unsecured creditors of the Transferor Company has also been placed on record **(Annexure A-10).** Both the unsecured creditors have given their written consent for the proposed scheme and their consent affidavit has also been placed on record (**Annexure A-11).** In respect of unsecured creditors, prayer has been made for issuance of directions for dispensing their respective meetings.

9. The Transferee Companyhas 3 Equity Shareholders. The certificate of chartered accountant certifying the list of equity shareholders has also been placed on record **(Annexure A-17).** All the shareholders have given their written consent for the proposed arrangement and their

consent affidavit has also been placed on record (**Annexure A-18).** In respect of shareholders, prayer has been made for issuance of directions for dispensing their respective meetings.

10. The Transferee Company has no Secured Creditor. The certificate of chartered accountant that there is no secured creditor of the Transferee Company has also been placed on record **(Annexure A-19).**

11. The Transferee Company has 3 unsecured Creditors. The certificate of chartered accountant certifying the list of unsecured creditors of the Transferee Company has also been placed on record **(Annexure A-20).** All the unsecured creditors have given their written consent for the proposed scheme and their consent affidavit has also been placed on record (**Annexure A-21).** In respect of unsecured creditors, prayer has been made for issuance of directions for dispensing their respective meetings.

12. We have perused the joint application and the connected documents/ papers filed herewith including the Scheme of Amalgamation contemplated between the Applicant companies.

- It is further submitted that the Board of directors of both the applicant companies vide separate Board meetings, held on 31.10.2021 respectively have unanimously approved the proposed Scheme of Arrangement and copies of such board resolutions passed there have been placed on record by the companies (**Annexure A-6,16 (colly)).**
- That the Transferor Company has filed its Memorandum and Articles of Association and has also filed its latest audited financial statements for the year ending 31.03.2021 **(Annexure A-4)** and provisional balance sheet as on 31.10.2021 **(Annexure A-5).**
- That the Transferee Company has filed its Memorandum and Articles of Association and has also filed its latest audited financial statements for the year ending 31.03.2021 **(Annexure A-14)** has also filed itsprovisional financial statements as on 31.10.2021 **(Annexure A-15).**
- Both the Applicant companies have submitted that no investigation proceedings are pending under the provisions of the Companies Act against any of the Applicant company. In this regard, a separate

additional affidavit in accordance to Sec 230(2)(a) has been placed on record.

- Further, it has been stated in the application that the Scheme is not prejudicial to the interests of the shareholders, and creditors of the Applicant companies. The Scheme will be beneficial to all the Applicant companies and their respective shareholders and creditors.
- The certificates of statutory auditors of all the Applicant companies confirming that the accounting treatment in the scheme is in compliance of and in conformity with Section 133 of the Companies Act, 2013 have been placed on record **Annexure A-23.**

- The Applicant Companies has vide separate additional affidavit dated **26.02.2022** provided clarification that:
  - There was a typographical error in the sub-para 7.1 of Para 7 i.e. Consideration clause of the scheme
  - That in consideration for the transfer of and vesting of the properties, assets, liabilities and undertaking of the Transferor Company in the Transferee Company, The Transferee company shall,without any further act or deed, Issue and allot 0.2455 fully paid

up equity share of Rs 100/- (Rupees One Hundred Only) for every100 fully paid up equity share of Rs 10/- (Rupees Ten Only) to the respective shareholders, holding fully paid-up equity shares and whose names appear In the Register of Members of the NBCFPL onthe Effective Date or to such of their respective heirs, executors, administrators, assignees, or other legal representatives or othersuccessors in title as may be recognized by the Board of Directors of NBCFPL after duly complying with the applicable Foreign Exchange Management Act, 1999 and applicable withholding tax provisions under the Income-tax Act, 1961, if any.

- Under sub-para (iii) of para 35 of the application there was a typographical error and the same has been rectified
- in consideration for the transfer of and vesting of the properties, assets, liabilities andUndertaking of the Transferor Company in the TransfereeCompany In terms of this Scheme, the Transferee Company shall,without any further act or deed, Issue and allot 0.2455 fully paid up equity share of Rs 100/-

(Rupees One Hundred Only) for every 100 fully paid up equity share of Rs 10/- (Rupees Ten Only) to the respective shareholders, holding fully paid-up equity shares and whose names appear in the Register of Members of the NBCFPL on the Effective Date or to such of their respective heirs, executors, administrators, assignees, or other legal representatives or other successors In title as may be recognized by the Board of Directors of NBCFPL after duly complying with the applicable Foreign Exchange Management Act, 1999 and applicable withholding tax provisions under the Income-tax Act, 1961 , If any.

- The Scheme and Application are modified/altered to the extent of typographical error and there is no other modification/alteration to the Scheme and Application. Copy of the revised scheme of amalgamation is annexed herewith as ANNEXURE-A and Copies of the Board Resolution dated 26 February, 2022 passed by the Transferor and Transferee Company Is annexed herewith as ANNEXURE- B & C respectively.

13. Taking into consideration the application filed jointly by the Applicant Companies the following directions are issued:

A. IN RELATION TO TRANSFEROR COMPANY

i. With respect to Equity Shareholders:

Meeting of the 2 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed arrangement.

ii. With respect to secured creditors:

As there is no secured creditor in the Transferor Company, the requirement of convening meeting of unsecured creditors does not arise.

iii. With respect to unsecured creditors:

Meeting of the 2 unsecured creditors is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed arrangement.

B. IN RELATION TO TRANSFEREE COMPANY

i. **With respect to Equity Shareholders:**

Meeting of the 3 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed arrangement.

ii. **With respect to secured creditors:**

As there is no secured creditor in the Transferee Company, the requirement of convening meeting of secured creditors does not arise.

iii. **With respect to unsecured creditors:**

Meeting of the 3 unsecured Creditors of the Transferee Company is dispensed with, as the 100% written consent has been furnished by way of affidavits for the proposed arrangement.

14. The application stands allowed in the aforesaid terms. Let the copy of the order be served to the parties.

Sd/-

AVINASH K. SRIVASTAVA
MEMBER (TECHNICAL)

Sd/-

P.S.N. PRASAD
MEMBER (JUDICIAL)